

FRMO Corp FRMO

November 23, 2020 - 11:49am EST
by

mojoris

			2020	2021
Price:	7.20	EPS	0	0
Shares Out. (in M):	43	P/E	0	0
Market Cap (in \$M):	300	P/FCF	0	0
Net Debt (in \$M):	-50	EBIT	0	0
TEV (in \$M):	250	TEV/EBIT	0	0

Description

High level thesis: "Look over here!"

Orphaned closely held security run by a transparent management team that owns various assets that have the potential to return multiples. By the time many of the assets are 're-rated' the stock will be up-listed.

If this doesn't interest you, Go check out my DISH write up.

Ticker: FRMO

Market Cap: ~\$300mm

Investment duration: ~few years

Reported book value as of October 20, 2020: \$116mm (non-controlling interest of \$44mm)



Quick hitter thesis (I touch on these below):

Orphaned stock that actually has a fair amount going for it...

- Agriculture exchange consolidation
- Texas Pacific Land Trust (ticker TPL)
- Possible up-listing over the next 12-18 months
- Bitcoin beneficiary via owning coins as well as mining operations via joint venture (ticker WELX)
- Two known brilliant thinkers who have created a sound product in Horizon Kinetics and have a following, and they are taking on their next commercial product that should add another annuity type stream to the income statement, and so much more.
- Btw, it is also a business that should benefit from money debasement / printing and business positioned to potentially benefit from inflation down the road
- Keep reading...

Situation Overview:

I have been accumulating FRMO common stock for many months now. I wait by the phone from the brokers that trade this security, and they have called only a handful of times, leading me to buy this electronically in small batches. All of that said, I think the current equity value range using the 1 year average price of \$5.75 to the current price level of nearly \$7/share is a reasonable entry versus downside of \$4-\$4.50 per share (which could easily be hit on an illiquid market drawdown)

versus upside of potentially ~\$18-\$24 per share or ~150%-240%. There is no need to discuss my actual bull case of ~10-15x (\$3-\$5bn equity value), as value investors must have the supporting math...and even then they likely can't buy into the dream scenario as it involves inflation, bitcoin (it's not a store of value' and fraud blah blah blah- that's not the point of this discussion/write-up), NOLs, future product roadmap that hasn't been presented in print yet.

Over the last several months I have been researching several ways to play the theme of money printing, and the potential for rising inflation in the future. Various situations popped on my radar, but FRMO seemed like not only a beneficiary, but also a story that is transitioning from complex to simple, with the potential to become a viable investment opportunity after a future up-listing.

Even if inflation doesn't fit into your macro lense, the write up may still resonate with you as a catalytic investment.

As many value investors know, Murray Stahl and Steven Bregman have their paws in a lot of different things, and are very sharp. Punch line tease...

It's all about an investment in fixed float and FLOWS FLOWS FLOWS.

Place to read and learn more:

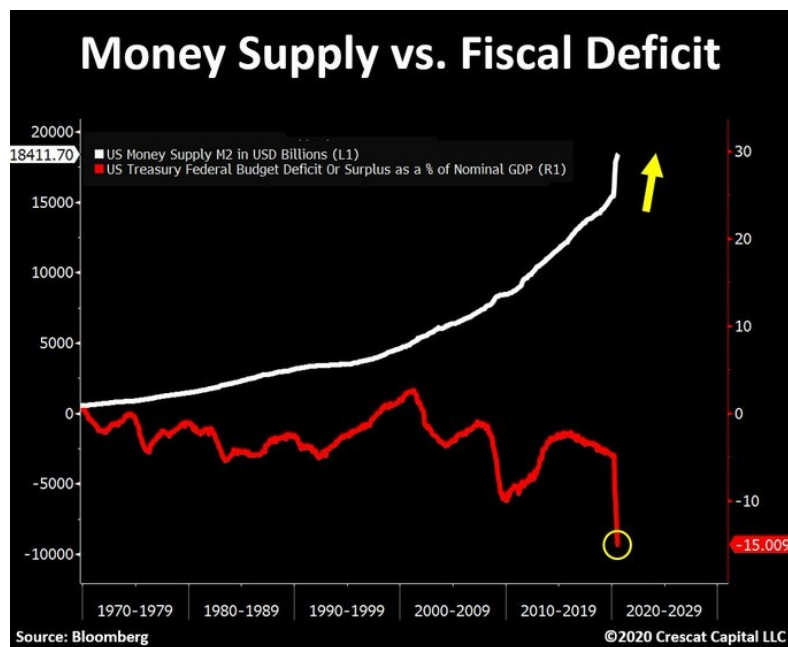
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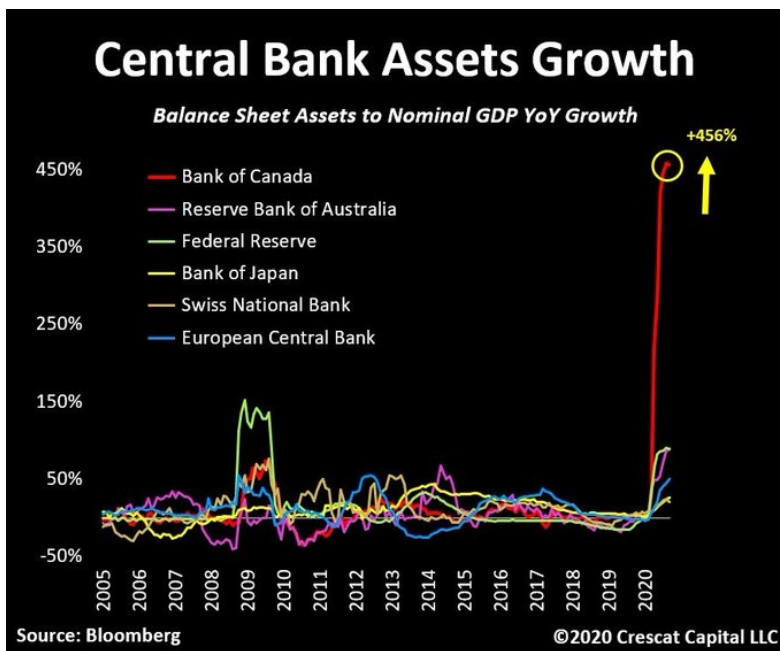
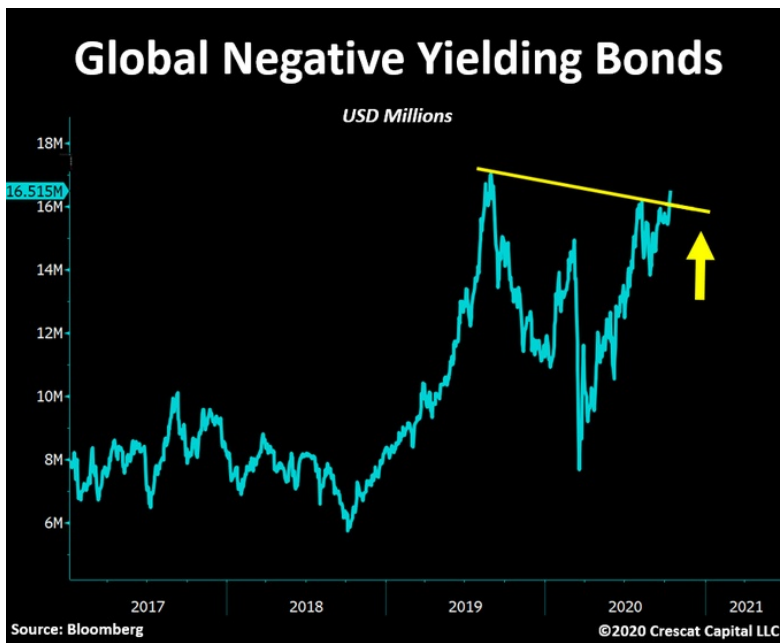
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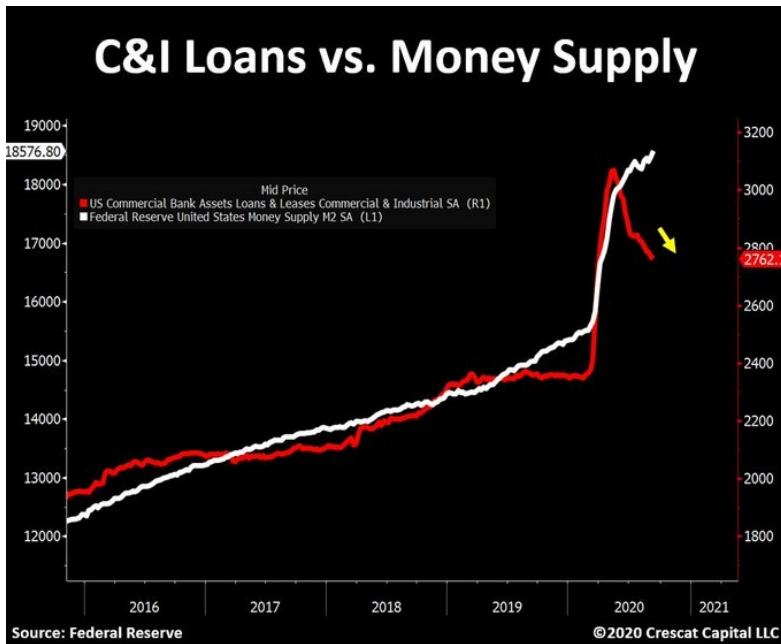
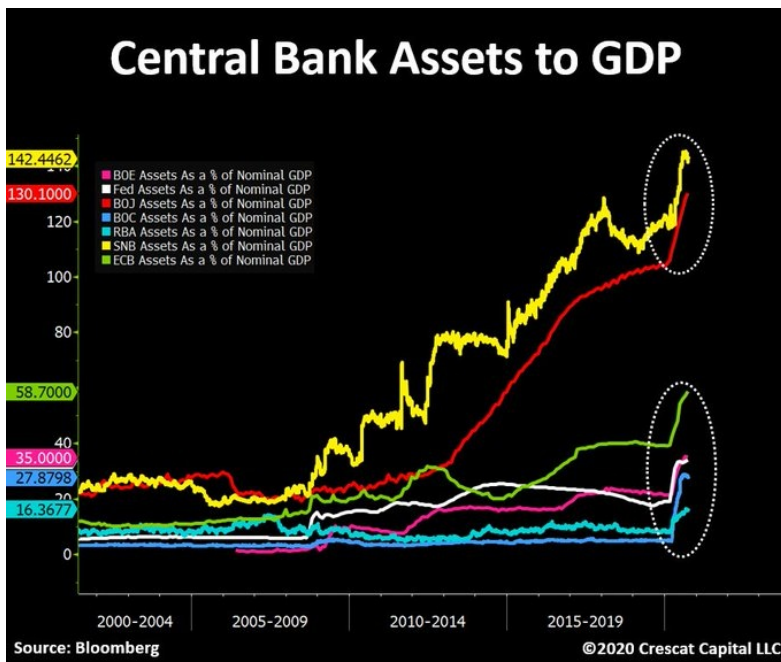
https://frmocorp.com/_content/letters/2020.pdf

Some of the more interesting excerpts supporting the quick hitter thesis (source: management commentary in italics, conference call transcripts, filings reading, et al)

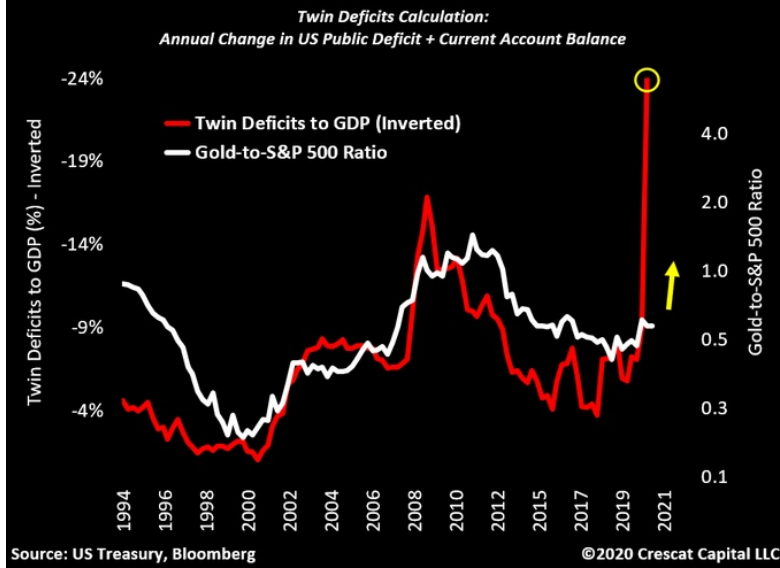
Money debasement / printing (pasting a few interesting charts from various sources – below is from Crescat Capital):







Twin Deficits vs. Gold-to-S&P 500 Ratio



Bitcoin / Crypto from 2016: some value ascribed

Among the Digital Currency Group's ("DCG") assets, it owns Grayscale, which operates the Bitcoin Investment Trust (symbol: GBTC). DCG operates Genesis, which is a cryptocurrency trading firm. It also operates CoinDesk, which is a cryptocurrency news and research company. DCG also takes minority positions in a variety of cryptocurrency-related companies. One of these is Bitpay, which is a bitcoin payment service provider. Another is Elliptic, which identifies illegal activity on the bitcoin blockchain. Another investment is in Coinbase which, among other offerings, provides insured electronic wallet services.

FRMO owns ~550k shares of GBTC. DGC is marked at \$76k

<https://dgc.co/who-we-are/>

<https://dgc.co/portfolio/>

Winland / crypto mining business: zero value ascribed

The other thing I'd like to say is that you might find interesting. We've -- subsequent to September 30, we're investing \$2,700 to try to build our own cryptocurrency mining machines. Obviously, if we fail, it's only \$2,700. We're going to give it a try, and I actually believe we can do it. And if we do, it opens up a different kind of opportunity for us in the world of mining. I think we've gotten a lot of experience just through the last couple of years, we've learned a lot. And I think we did actually -- if we could do this, if we could pull it off, it would really greatly raise our return on invested capital.

It'll also have implications for our investment in Winland Electronics. So as you probably know, we bought some more shares of Winland. We're up to a 28.39% ownership. Winland itself, now with its mining, has, as of this recording, this is September 30, again, 2.9898 Bitcoin. So we round it and we call it 3. Our proportional ownership, if this is even important to you, is 0.8488. So if you want to add nearly 1 Bitcoin to the -- on a look-through basis, you can do that. I don't know if it's going to change your calculations, but there it is.

FRMO continues to build its inventory of cryptocurrency mining equipment, with a purchase of 90 Bitmain S19 95 TH/S bitcoin miners expected to be put into service this month. In the aggregate, these newly acquired miners

will produce an operating hashrate of 8.55 petahash per second (PH/S) and will operate with an energy efficiency of $34.5 \pm 5\%$ joules per terahash (J/TH). This is in addition to FRMO's pre-existing bitcoin operating hashrate of

approximately 13 PH/S, now bringing the Company's total bitcoin operating hashrate to 21.55 PH/S.

Pull up ticker WELX. Will this remain a ~\$5-\$10mm market cap as FRMO continues to contribute assets for shares they likely don't exit for years?

Mined Crypto:

of Coins

Bitcoin 62.84

Ethereum 34.98

Ethereum Classic 661.7

Zcash 2.0

Litecoin 494.0

Bitcoin cash 1.1

Btw, even if you don't believe in digital currency, crypto, Bitcoin, etc... **FRMO is clearly going to grow this 'widget' business...which happens to be Bitcoin mining.**

Agriculture exchange consolidation: value \$25mm vs stale mark

<https://www.startribune.com/the-last-of-its-kind-the-minneapolis-grain-exchange-is-being-sold/573069372/> -

Texas Pacific Land Trust:

Catalyst: Potential for c-corp conversion, index addition(s), and see below for punchline.



New Product Introduction(s): zero value ascribed

*What are we working on? A couple of interesting things. Number one, **we are in 30 days, going to launch an ETF.** The first time we ever launched an ETF, and the theme of the ETF is going to be inflation-oriented. And we're doing it for a couple of reasons. Number one, we think we're going to have some inflation. I could be wrong about that, but we think that we're going to have some inflation. Secondly, whether we're right or wrong, and that's merely a forecast. The popular indexes have moved so radically away from any inflation beneficiaries that inflation beneficiary just as a proportion of the index or the popular index, in any event, is fairly de minimis. So the world needs a product like that. And then it's actively managed as opposed to passively managed.*

A - Therese Byars

Okay. Recently, HK has filed for an ETF. Will it be a standalone or are you considering a family of ETFs? And how will they be marketed against the large ETF family, so they become -- they could become largely held and **potentially reach \$1 billion or more?**

A - Murray Stahl

Well, let's say --

A - Therese Byars

One more --

A - Murray Stahl

Yes. Okay. Yes, please.

A - Therese Byars

Can I tag on; how do you consider the crypto ETF and can offer more participate?

A - Murray Stahl

Okay. To begin with, as I mentioned, we filed for an ETF, and hopefully, if everything goes right, more or less 30 days, you never know exactly because you're dealing with the regulators. More or less **30 days from now, we will have an ETF. We wouldn't be doing it just to have one ETF.** There is going to be other ETFs that follow it. I know you'd like me to tell you what they are, but I think we have some pretty good ideas. If I tell you right now, there are people with more resources, it's a great idea, if somebody could be listening to this call, and they'll do the ETFs. It's not that I have any great secrets, but I don't think it's a great idea to tell you what it is, although I would love to share it with you.

But I don't think it's so it's such a bright idea. We've actually hired a couple of people that are going to market it. The preliminary results, you never know how much money you're going to get. Preliminary results of what we believe we're going to get on the first day, actually exceed my expectations. So, I'm not saying we're getting \$1 billion, but it actually exceeds my expectations.

Everything we're going to do in all the ETFs, they're going to be unique

Up-listing: provide liquidity

A - Therese Byars {BIO 18353417 }

Okay. Different subject. Does FRMO still have plans to move from pink sheet listing to, perhaps, a higher OTC markets listing or one of the larger exchanges?

A - Murray Stahl {BIO 4095900 }

Eventually, we'll get around to that. In the last six months or so, given what we went through, I guess, it wasn't our top priority, but eventually, we'll get around to that. But it just wasn't something we're working on right now.

Punch Line:

Why does any of the above really matter?

Answer: Because Murray Stahl and Steven Bregman are creating an inflation ETF, whereby **they will drop in / contribute many of the above assets held within FRMO** that have fairly defined floats and low average daily trading volume.

Why does this matter?

Answer: because Murray and Steven have a following that will likely attract flows into this ETF and other products they may introduce. Assets Under Management is anyone's guess, but I expect it to be successful over the next 12-18 months.

Why does this matter?

Answer: Because **flows and flows and flows** are going to buy their new exchange traded actively managed product that will like be multiples larger than the book value of their various assets and also likely re-mark many of the FRMO assets they hold.

Final Answer: Forced buying + Lack of sellers = Liquidity mismatch + (rising asset prices) + share repurchase (yes they have made some token share repurchases).

=

FRMO stock is likely going higher.



Risk(s):

ETF product(s) does not receive regulatory approval

ETF AUM doesn't grow

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Let's Go!

Messages

Subject	Valuation
Entry	11/23/2020 01:24 PM
Member	lpartners

Could you give some color on how you get to your price targets? Thanks

Subject	FRMO update: TPL c-corp
Entry	11/24/2020 07:03 AM
Member	mojoris

Texas Pacific Land Trust (NYSE: TPL) ("the Trust") announced today that its Trustees have declared a special cash dividend of \$10.00 per sub-share certificate. The special cash dividend, which will be payable on December 17, 2020 to sub-shareholders of record as of the close of business on December 11, 2020, increases the Trust's cumulative 2020 regular and special dividend offerings to \$26.00 per share and represents \$201.7 million returned to shareholders this year.

Additionally, the Trust today provided an update on its previously announced corporate reorganization efforts. On March 23, 2020, following a comprehensive review led by a Conversion Exploration Committee that included shareholder representation, the Trustees approved a plan to reorganize the Trust from its current structure to a corporation formed under Delaware law. On June 15, 2020, the Trust announced the name of the new corporation, Texas Pacific Land Corporation ("TPL Corp"), as well as the prospective members of its Board of Directors. A draft registration statement on Form 10 has also been submitted to the Securities and Exchange Commission (the "SEC") for review on a non-public basis. The Trust continues to make significant progress toward effecting its planned corporate reorganization and now anticipates that it will occur during the first half of January 2021.

Subject	FRMO update: exchange merger to close December 4th
Entry	11/25/2020 07:59 AM
Member	mojoris

CFTC Approves Transfer of Minneapolis Grain Exchange's Contract Market Designation in Connection with Acquisition by Miami International Holdings; Parties Target December 4, 2020 Closing

PRINCETON, N.J. and MINNEAPOLIS, Nov. 24, 2020 /PRNewswire/ -- Miami International Holdings, Inc. (MIH), the parent holding company of the MIA Exchange Group™, and the Minneapolis Grain Exchange, Inc. (MGEX), a Designated Contract Market (DCM) and Derivatives Clearing Organization (DCO), today announced that in connection with MIH's anticipated acquisition of MGEX, the Commodity Futures Trading Commission (CFTC) has approved the transfer of MGEX's Contract Market Designation to Minneapolis Grain Exchange, LLC, an entity created for purposes of the transaction.

With CFTC approval, MIH's acquisition of MGEX is now expected to close on December 4, 2020, subject to the satisfaction of customary closing conditions. Upon closing, MGEX would become a wholly owned subsidiary of MIH.

Thomas P. Gallagher, Chairman and Chief Executive Officer of MIH, commented, "We are thrilled by the CFTC's approval and thank the CFTC Commissioners for their vote of confidence in the merger between MIH and MGEX. We are eager to close in the coming days and begin to pursue the numerous growth opportunities that we have planned for MGEX." Added Gallagher, "This transaction would not have been possible without the decision by the MGEX seat holders to first demutualize, and we are grateful for their support."

MGEX President and Chief Executive Officer Mark G. Bagan said, "We are very pleased that the CFTC has approved the transfer of our Contract Market Designation. We would like to thank Chair Tarbert and the CFTC Commissioners and Commission Staff for their support throughout the entire approval process."

Barbara J. Comly, Executive Vice President and General Counsel of MIH, added, "We are appreciative of the CFTC's approval and the work of the Commissioners and staff. We look forward to working with the CFTC following the closing."

MGEX, established in 1881, is one of the oldest trading venues in America, with more than 400 seats, historically concentrated on trading in agricultural products. The acquisition of MGEX significantly diversifies MIH's product portfolio by providing MIH with a futures exchange and clearing facility.

Subject	Grayscale, Coinbase
Entry	11/28/2020 08:27 AM
Member	angus309

Really interesting idea. I am a M Stahl fanboy. CB and Grayscale are today, extremely valuable FRANCHISES. Would you kindly provide an idea as to how you value FRMO's stake vs carry value? Thank you.

Subject	You know I think you have a really great idea here
Entry	12/06/2020 03:39 PM
Member	dadande929

You know I believe you have a really great idea here

FRMO CORP **FRMO**

February 21, 2005 - 3:30pm EST

by dadande929

2 Ratings:

0 3.1 (17 votes)

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have a really good idea in FRMO

Description / Catalyst	Messages (26)
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Description

FRMO IS unique Co. That is, it is a one of a kind business. Its model is to receive wired funds to its bank account for advice given to various entities including several Hedge Funds, several Mutual Funds, wrap account manager, research publication, consulting clients and related.

The P & L is devoid of compensation expense other than a phantom non cash charge required by auditing standards (called contributed services). The only expenses are for accounting services (auditor exp) and for servicing shareholderes (cost to be public co).

The Comapny was founded by two brilliant thinkers, Murray Stahl and Steven Bregman, the founders of Horiozon Research et al. The have built a brilliantly modeled foirm at Horizon and wanted to have apublic company to channel pieces of fees they recieve for advising others, mainly as to byuing and selling stocks.

Thus they have an 8.4% interest in the advisor to the Kinetics Hedge Funds (off and on shore entities) which are now in excess of \$1B in assets. The 8.4% is share of the 1, 1.5% mgt fee and the 20% of profits performance fee.

This is a rapidly growing set of numbers. i.e. Assets, mgt fee and performance fee. The share of management fee ran 368K in the latest Q ended Nov 2004. The Q-3 of fiscal year to end Feb 2005.

This set of fees alone should keep growing and do so very rapidly

Let your mind wander. Consider on \$1B under management a 1.5% mgt fee and a 20% up year will equal at 8.4%, is \$1.260M Mgt + \$3.360M performance fee.

Let your mind wander and consider assets growing from additional investment and performance in the 20% range. Big numbers will accumulate from just this one source.

Now it should be noted that these Hedge Funds are new and started with zero assets in 2001 and have grown steadily. Performance has been +9.7, +9.9%, +43.2%, +16.1% 2001-2004. On a cumulative basis, over the 4-year 4-month period from inception through year-end 2004, the Kinetics Partners Fund has returned 124%, whereas the S&P 500 Index has lost (15%). Not bad.

At November 30, 2004 and 2003, the Company's share of the underlying net assets of Kinetics Advisors, LLC exceeded the investment which was zero, by \$1,098,532 and \$613,925, respectively.

This at current annualized rate bigger things are in store for FRMO.

Another goodie FRMO acquired on is On June 1, 2004, is a one-third interest in the advisory fee revenue that Horizon Asset Management, Inc. receives from the Lehman Brothers Manager Access Program, in exchange for 4,587 shares of FRMO common stock. Under this program, Horizon Asset Management provides investment advisory services to certain Lehman Brothers clients, the fees being calculated on the basis of assets under management. While assets under management were quite modest at the time of acquisition, they have expanded significantly and exceeded \$100 million as of December 31, 2004. Management believes that they will continue to expand in future years. The five-year investment returns of the strategy utilized by this program, through December 2004, amount to about 14% per year versus the approximately 2% annualized loss for the S&P 500 Index over the same period. These assets under management should grow at a healthy rate

Please see latest Q for all other contributing revenue (fund wiring to FRMO) sources.

The balance sheet is a thing of beauty as Equity amounts to 72% of assets and should continue to grow toward 100%. Assets by the way are almost entirely cash and investments. The latter is mostly the performance fees and management fees uncollected, but remaining invested in the capital accounts of managed hedge funds. Virtually all assets are liquid and taxes are the main liability feature of the balance sheet.

Bad news? Well the earnings of 3c P/S in Q-3 (nov) were reported on 7.7 mM diluted shares. The outstanding shares will in due course swell to swell to 36.1 M shares outstanding. They will do that when The Stahl-Bregman group which created and founded this Company draws down by paying for 28M shares they obligated themselves to purchase for some \$2.8M when they created the company.

These guys are geniuses and honest as the day is long. A bet on them is what we have here in a unique business format geared to make them wealthy and shareholders as well via ONLY STOCK appreciation, not salaries, not bonuses, not stock options, not fees, not any kind of normal corporate compensation.

The goal is to keep creating revenues and net profits near the revenues and a capital gain opportunity over the long-haul par excellence.

By the way on present outstanding shares the 12c annualized d EPs means the stock is at a mere 17.5 P/E

Subject	FRMO : Why so sanguine about ETF?
Entry	12/08/2020 08:17 AM
Member	angus309
I read a brief bit about the new ETF to be launched in Grant's. Maybe Stahl and team's marketing group will sell the heck out of this thing, as noted. Stahl is optimistic. I look at GYLD for example which sorta rhymes with what they propose, see GYLD with \$36mm AUM, and scratch my head. How is Horizon's new ETF, ticker INFL (great ticker) that exciting? I think Stahl and team are brilliant, but this offering doesn't seem like they have broken some secret code? Would love to hear where I'm wrong.	
Subject	FRMO ETF Launch:Horizon-Kinetics-Launches-Inflation-Beneficiaries-Exchange-Traded-Fund-INFL
Entry	01/12/2021 10:38 AM
Member	mojoris
Link: https://www.businesswire.com/news/home/20210112005713/en/Horizon-Kinetics-Launches-Inflation-Beneficiaries-Exchange-Traded-Fund-INFL	
Subject	FRMO: MIH MIAX Exchange business growth is impressive
Entry	01/13/2021 09:19 AM
Member	mojoris

https://www.miaxoptions.com/sites/default/files/press_release-files/MIAX_Press_Release_01112021.pdf

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